Conclusion: Major Transformations after 1991

It is tempting to find continuity in any historical overview of India's relations with the world. Indeed, there are some consistent themes, whether the role of trade and technology, the quest for a balance of power in Asia, and regional rivalries. But equally, India's global interactions have seen some major transformations, and these are important to recognize. A number of important trends after 1991—with periods of acceleration in 1998–2008 and 2014–2024—are worth highlighting.

One, over the past three decades, India has emerged from relative economic isolationism and is now increasingly integrated with the global economy. The Indian economy is significantly larger than it ever was and, in addition, more robust and diversified. Its gross exports, foreign exchange reserves, and overall macroeconomic health, are in far stronger shape than in the past and absolute poverty has declined. The trappings and behaviour of the fifth-(and probably soon, third-) largest economy are radically different from a country that was once dependent upon food aid or concerned about a balance of payments crisis. [59] Rather than protectionism, India now strives for economic competitiveness in a globalized world, requiring the integration of its foreign policy with its defence, trade, industrial, financial, education, technology, energy, health and agricultural policies. Barring China and Pakistan, India's relations with most other countries are primarily collaborative, rather than competitive. This creates unprecedented opportunities for India.

Two, in contrast to a period where it was preoccupied with a narrower South Asian neighbourhood, India has begun to play an active role in a wider Indo–Pacific region, with implications for the Asian balance of power. In part, this is a natural consequence of the de-hyphenation with Pakistan, which until at least 2008 remained a limiting factor. There are antecedents in the pre-Independence and immediate post-Independence period. Whether in terms of trade, security, or institutions, India can now play a larger role in a broader region.